# Audit Opinion

The auditor’s opinion provides the auditor's conclusion as to whether the financial statements give a true and fair view.

The audit opinion can be **unmodified or modified**.

## Unmodified opinion

When the auditor concludes that the financial statements are prepared, in all material respects, in accordance with the applicable financial reporting framework they issue an unmodified opinion in the auditor's report.

The audit opinion will state that the financial statements give a **true and fair view**.

This will mean:

- The financial statements adequately disclose the significant accounting policies.
- The accounting policies selected are consistently applied and appropriate.
- Accounting estimates made by management are reasonable.
- Information is relevant, reliable, comparable and understandable.
- The financial statements provide adequate disclosures to enable the users to understand the effects of material transactions and events.
- The terminology used is appropriate.

Reasons to modify the opinion:

The auditor will need to modify the opinion when they conclude that:

(1) Based upon the evidence obtained the financial statements as a whole are not free from material misstatement. This is where the client has not complied with the applicable financial reporting framework.

OR

(2) They have been unable to obtain sufficient appropriate evidence to be able to conclude that the financial statements as a whole are free from material misstatement. This is evidence the auditor would expect to exist to support the figures in the financial statements.

The nature of the modification depends on whether the auditor considers the matter to be material but not pervasive, or material and pervasive, to the financial statements.

Pervasive

A matter is considered 'pervasive' if, in the auditor's judgment:

- The effects are not confined to specific elements, accounts or items of the
- financial statements
- If so confined, represent or could represent a substantial proportion of the
- financial statements, or
- In relation to disclosures, are fundamental to users' understanding of the
- financial statements.

In brief, a pervasive matter must be fundamental to the financial statements, therefore rendering them unreliable **as a whole.**

Modified Opinion

There are two sources of difficulty:

1. Material misstatements
2. Lack of sufficient appropriate audit evidence

**Qualified audit opinion (except for)**

One or both has arisen.

The problem is material but not pervasive, so the problem can be isolated. The financial statements present fairly, in all material respects, except for…

- If the misstatement or lack of sufficient appropriate evidence is material but not pervasive, the auditor will issue a qualified opinion.
- This means the matter is material to the area of the financial statements affected but does not affect the remainder of the financial statements.
- ‘Except for’ this matter, the financial statements give a true and fair view.
- Whilst significant to users' decision making, a material matter can be isolated whilst the remainder of the financial statements may be relied upon.

**Adverse opinion**

One or more material misstatements that are so serious as to be pervasive so that the financial statements, as a whole, do not present fairly ...

Examples include:

- Preparation of the financial statements on the wrong basis.
- Non-consolidation of a subsidiary.
- Material misstatement of a balance which represents a substantial proportion of the assets or profits e.g. would change a profit to a loss.

**Disclaimer of opinion**

A lack of sufficient appropriate audit evidence that is so serious as to be pervasive so that the auditor cannot form an opinion on the financial statements as a whole.

Examples include:

- Failure by the client to keep adequate accounting records.
- Refusal by the directors to provide written representation.
- Failure by the client to provide evidence over a single balance which represents a substantial proportion of the assets or profits or over multiple balances in the financial statements.

**A Key audit matters section in the report**

A key matter is the most significant matters that came up in the AUDITORS judgement -

NOT those likely to be most important to users -

This is because the auditor would otherwise have to:

1) Determine what is important to a user
2) Possibly include 'original information' in the audit report (which may blur the roles of management, those charged with governance and the auditor).

These key matters would be selected from the matters the auditor sends to those charged with governance.

## Emphasis of matter

- If the auditor wishes to draw attention to a particular matter but agrees with the financial statements an 'emphasis of matter' paragraph will be included in the audit report.
- The matter referred to will be fully disclosed in the accounts and the auditor is simply drawing the users' attention to it.
- The paragraph will make it clear that the opinion is not qualified and will be given a separate heading after the opinion paragraph.
- If it's also a KAM then it simply gets shown as a KAM instead

**Examples**:
Significant subsequent event; New IFRS adopted early

## EOM and Other Matter Compared

There are 2 types of modified but not qualified reports.

**Emphasis of Matter**
This refers specifically to matters in the FS

**Other Matters**
This refers to anything else the auditor may wish to bring to the users attention

| | **Emphasis of matter** | **Other matter** |
|---|---|---|
| **What is it?** | Draws attention to fundamental issue in the fs | Draws attention to another issue users need to know about |
| **Where does it go?** | Normally before KAM (but can go after) | After the KAM paragraph |
| **Headed how?** | Emphasis of matter | Other matter |
| **Key points?** | Highlights the matter in the FS by reference to its page or note number | The effect on the auditor's responsibilities |
| **Effect on opinion?** | None | None |
| **Example** | Uncertainty regarding a contingent liability | Auditor wishes to resign but legally cannot |

**Going Concern**

**Going concern reporting implications**

| Situation | Impact on audit opinion | Impact on auditor's report |
|---|---|---|
| No material uncertainty exists regarding going concern. | Unmodified – Financial statements give a true and fair view. | No impact. |
| Material uncertainty exists and is adequately disclosed by management. | Unmodified – Financial statements give a true and fair view. | Additional communication: 'Material Uncertainty Related to Going Concern'. |
| Material uncertainty exists which is not adequately disclosed or is omitted. | Modified – qualified or adverse. | Basis for qualified/adverse opinion will explain the going concern issues management has failed to disclose adequately. |
| Company is not a going concern and has prepared the financial statements on the break up basis appropriately and made adequate disclosure of this fact. | Unmodified – Financial statements give a true and fair view. | Additional communication: Emphasis of matter paragraph. |
| Company is not a going concern and has prepared the financial statements using the going concern basis of accounting. | Modified – adverse opinion. | Basis for adverse opinion will explain the incorrect basis of accounting has been used and quantify the effect of this on the financial statements. |
| The period assessed by management is less than twelve months from the statement of financial position date and management is unwilling to extend the assessment. | Modified – qualified or disclaimer due to an inability to obtain sufficient appropriate audit evidence regarding the use of the going concern basis of accounting. | Basis for qualified/disclaimer opinion explaining that sufficient appropriate evidence was not obtained to form a conclusion on whether the going concern basis of preparation is appropriate. |